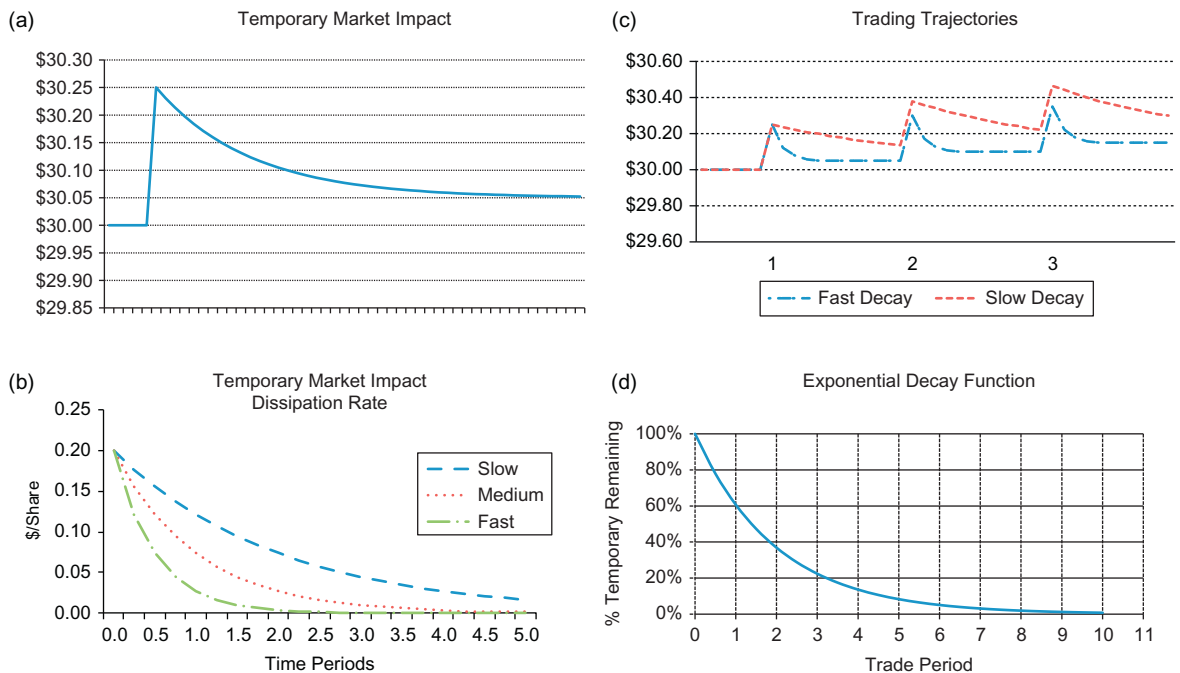


or acquisition, or (3) new product introduction. The best explanation we can offer concerning volume level expectations following a large trade is it will depend on investor mix prior to the large trade/order execution and the underlying reason of the order transaction. Additional research is needed in this area.

Illustration 3—Temporary Impact Decay Function

Temporary market impact is short-lived in the market. But how long exactly does it take for the price to move from the higher levels to the new equilibrium levels? This is referred to as temporary impact decay or dissipation of temporary impact. Figure 4.3a illustrates an example where the price is \$30 but a large buy order pushes the price to \$30.25. After time, this price reverts to a new equilibrium price of \$30.05. But the price does not revert in a single jump but rather over time. Figure 4.3b depicts dissipation of temporary impact for three different decay rates: fast, medium, and slow. This figure shows that analysts need to not only understand the effect of impact but also the speed at which temporary



■ Figure 4.3 Decay of Temporary Market Impact.